sources and can finance actions not only at national level but also at state level for agreed priorities and thrust areas.

Carbon offsetting and its requisite financing require global effort and process. Markets that are operating take signals from international negotiations. Domestic markets and mechanisms alone are neither sufficient for generating resources of the required scale nor efficient enough for reaching the set level of targets and therefore rely heavily on international policy architecture. The second commitment period of the KP has brought some respite and certainty to the carbon markets; however, due to lack of ambition the future of carbon markets could still be in an indeterminate state. India's actions for climate change will, therefore, need to be financed from a pool of resources consisting of domestic resources, international carbon finance, and multilateral funds.

International Sources and Issues

India, primarily out of its own concerns, has chalked out ambitious plans and policies to tackle climate change and environment issues that reflect India's strong will to address this global public good. However, given the *scarcity of resources* and competing demands, finding the matching resources is a challenge. The 'Expert Group on Low Carbon Strategies' has also stated in its Interim Report that aggressive mitigation cannot be achieved without substantial international financial support, both in terms of financial resources and technology transfer. The Indian PM also echoed similar sentiment in his **Rio+20 Summit** speech*: 'Many countries could do more if additional finance and technology were available. Unfortunately, there is not enough evidence of support from the industrialised countries in these areas.'*

PAT and RPO

The ***PAT*** (perform - achieve - trade) is a scheme for trading energy-efficiency certificates in large energy-intensive industries under the National Mission for Enhanced Energy Efficiency –

- Identified industries are required to improve their specific energy consumption (SEC) within the specified period of three years or face